

OH, GIVE ME A HOME

The New Rules for Getting a House or Apartment of Your Own

BUYING A HOME has always been—and always should be—treated as a major commitment. In recent years, though, things got way too casual. All you needed was to fill out some papers, come up with a tiny down payment (or maybe none at all), and you were a homeowner. It was that simple, and it ushered in the biggest housing boom in history.

And then the boom went bust.

Today, lenders are much stricter, so you'll really need to get all your financial ducks in a row. This chapter explains everything you need to know to buy a house or apartment of your own. It will help you figure out how much home you can afford, direct you to programs that can make things easier, and fill you in on everything from how to qualify for a mortgage to where to find the best rates.

A 60-SECOND EXPLANATION OF THE MORTGAGE MESS

Before I launch into the nitty-gritty of the steps you need to take, I want to quickly explain some of the factors leading up to the recent home loan crisis—only because it's a great lesson in what *not* to do.